

PERSISTENT PUZZLES IN ECONOMICS: PERSISTENT ECONOMIC SLACK

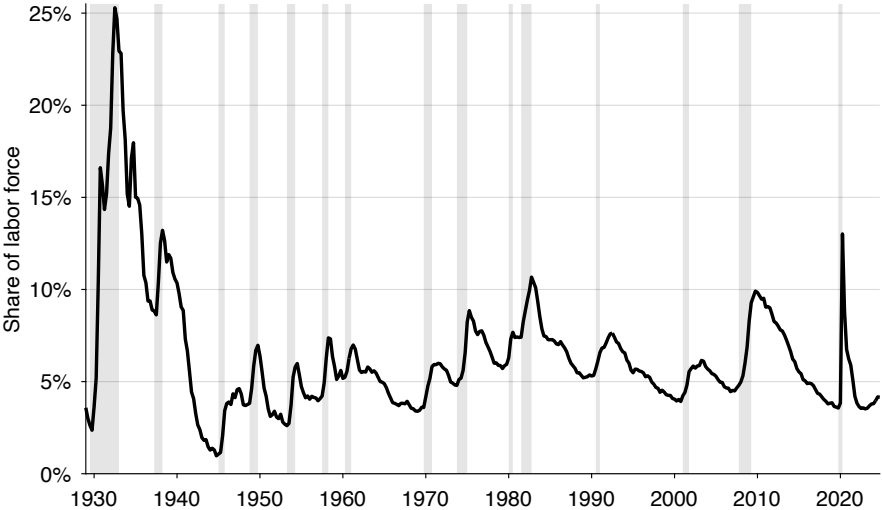
Pascal Michailat

July 2026

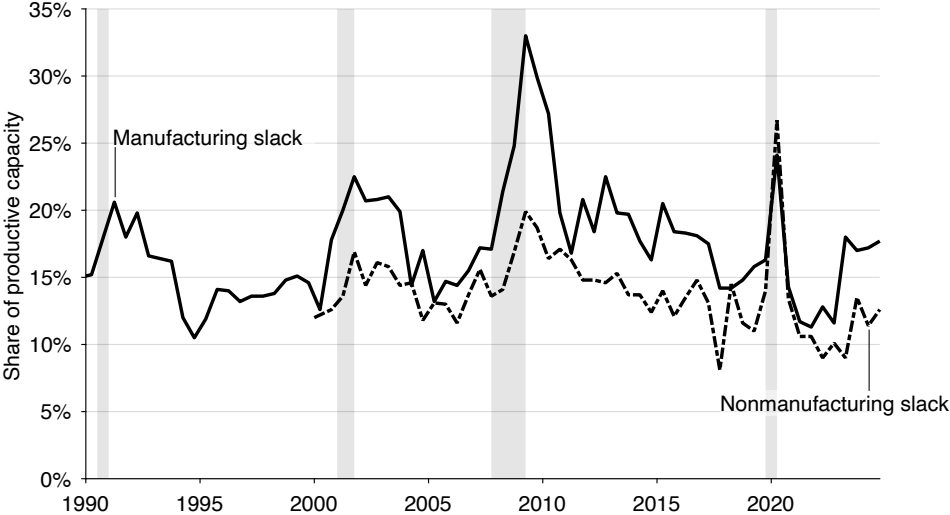
Book available at <https://pascalmichailat.org/18/>

1. SLACK IS ALMOST EVERYWHERE AT ALL TIMES

AVERAGE US UNEMPLOYMENT = 6.4%

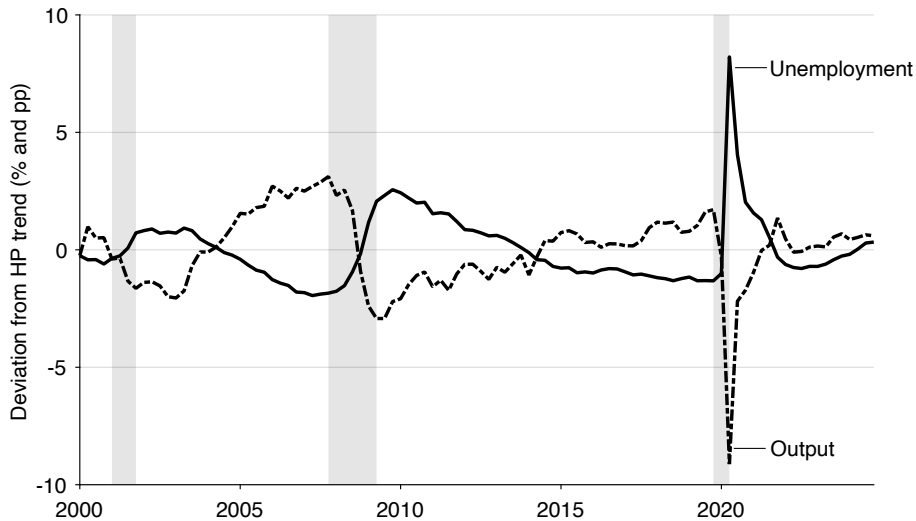


AVERAGE US PRODUCT-MARKET SLACK = 14⁰%–17⁰%

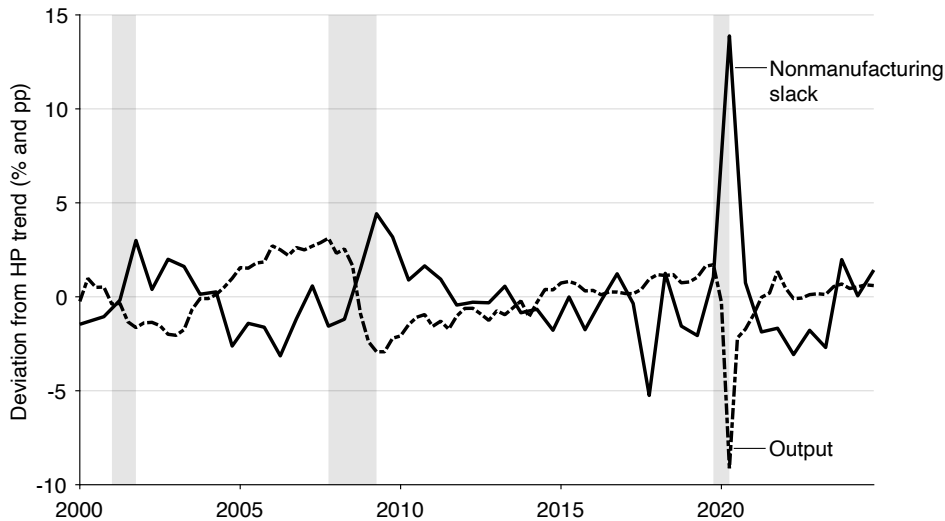


2. SLACK IS SHARPLY COUNTERCYCLICAL

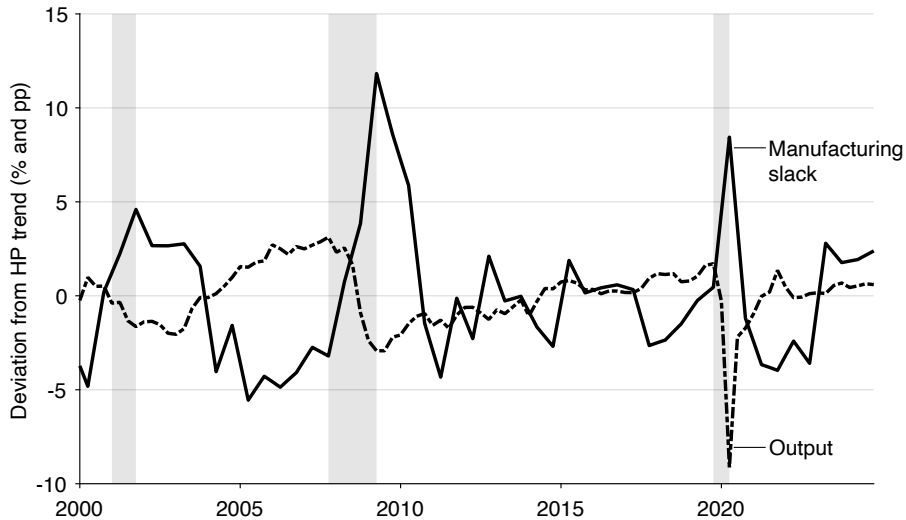
CORRELATION BETWEEN LABOR-MARKET SLACK AND OUTPUT = -0.90



CORRELATION BETWEEN NONMANUFACTURING SLACK AND OUTPUT = -0.72

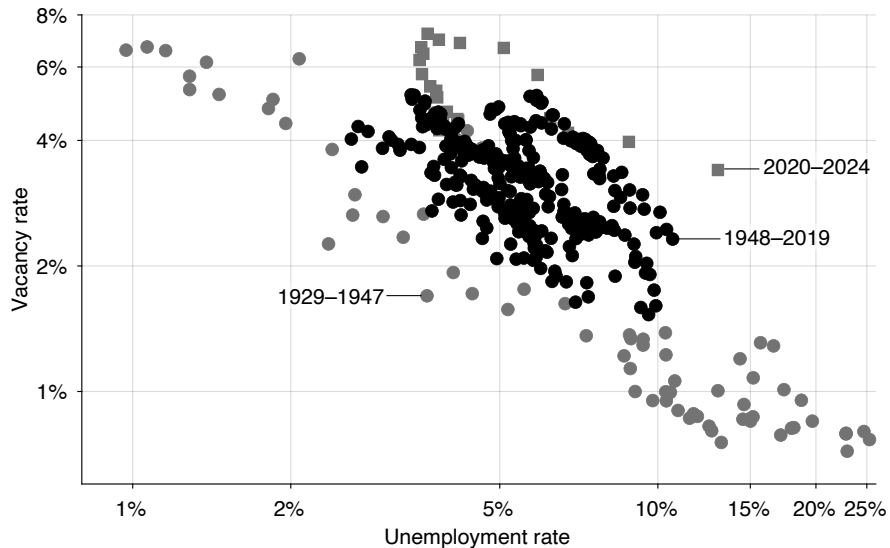


CORRELATION BETWEEN MANUFACTURING SLACK AND OUTPUT = -0.65

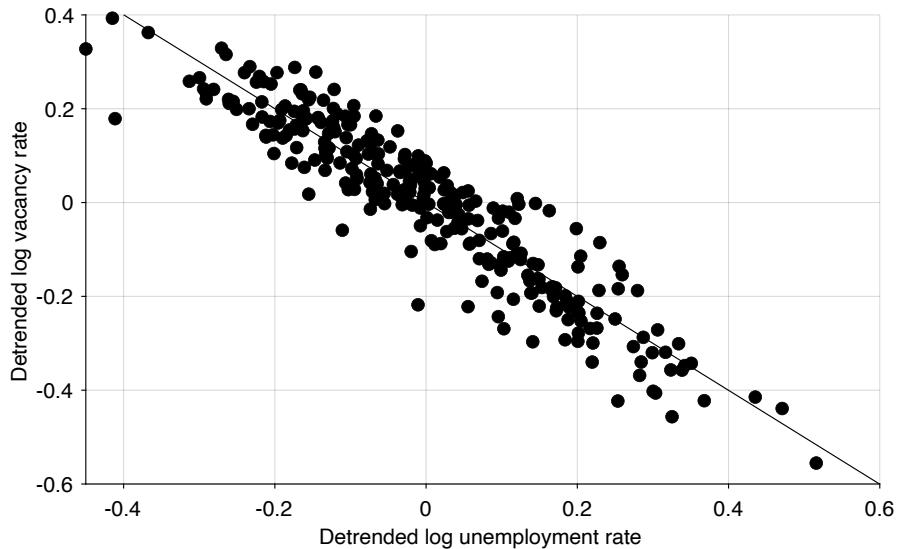


3. IT IS DIFFICULT FOR BUYERS AND SELLERS TO MATCH

JOB SEEKERS AND VACANT JOBS ALWAYS COEXIST IN US LABOR MARKET

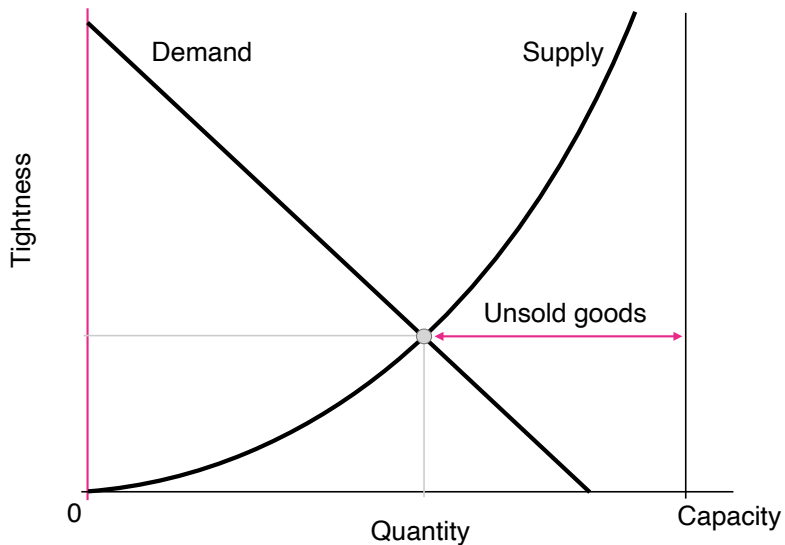


US BEVERIDGE CURVE = RECTANGULAR HYPERBOLA

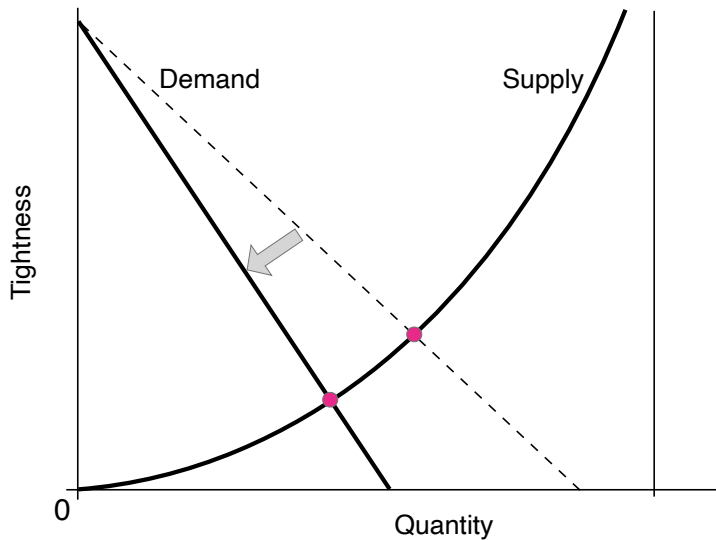


4. SLACKISH MARKETS EQUILIBRATE THROUGH TIGHTNESS

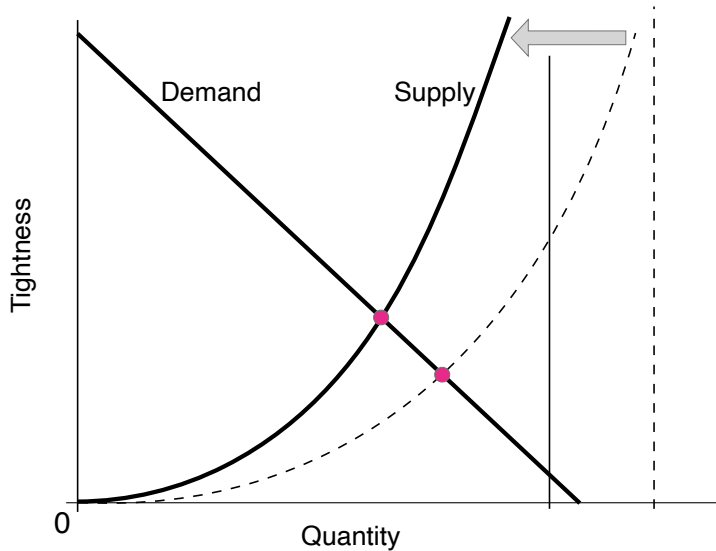
SUPPLY-DEMAND DIAGRAM FOR SLACKISH MARKET MODEL



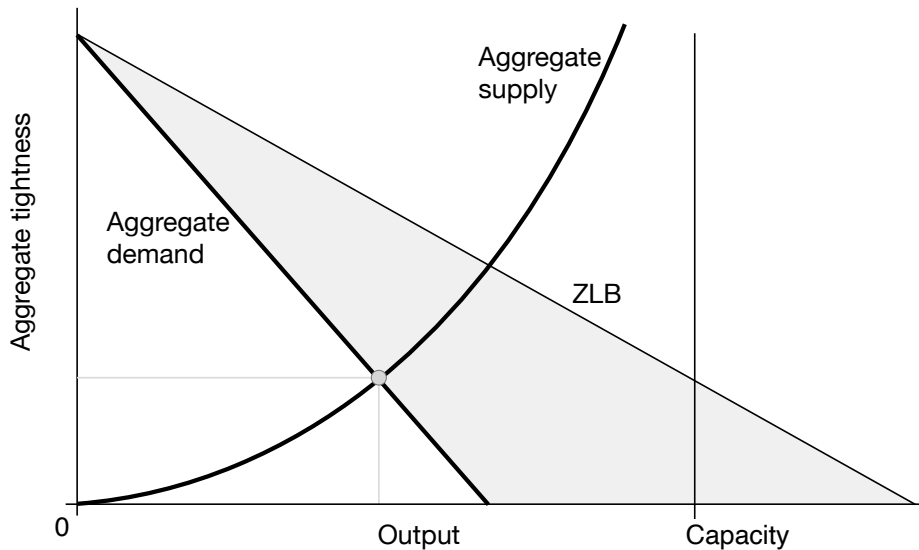
DEMAND SHOCK: POSITIVE TIGHTNESS-OUTPUT CORRELATION



SUPPLY SHOCK: NEGATIVE TIGHTNESS-OUTPUT CORRELATION

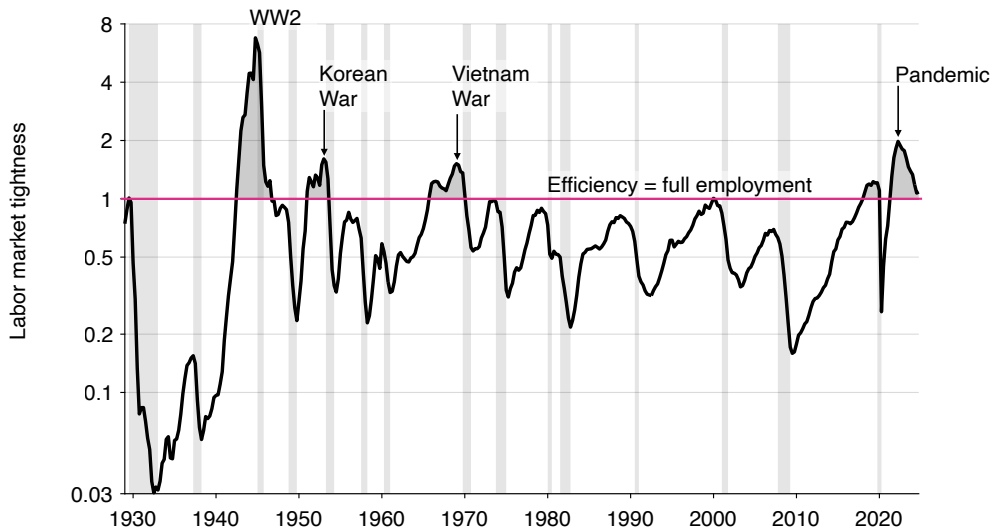


SAME REPRESENTATION OF SLACKISH BUSINESS CYCLE MODEL



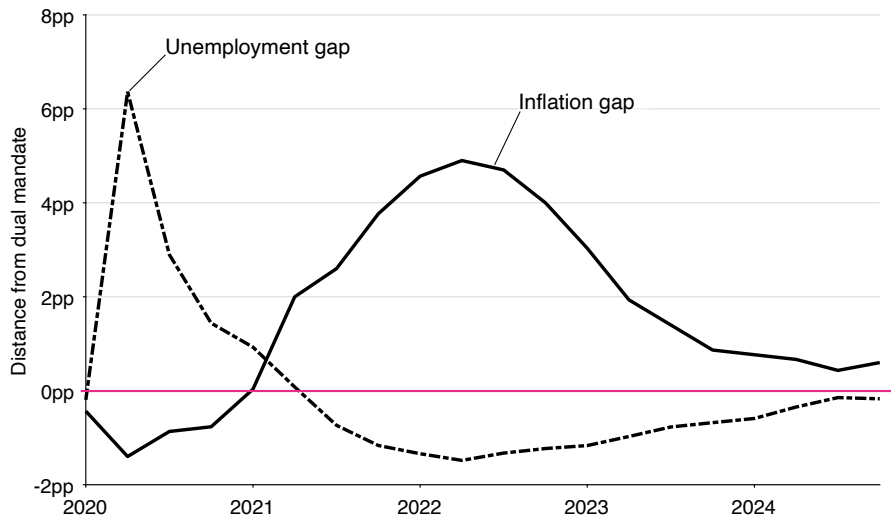
5. SLACKISH MARKETS ARE GENERALLY INEFFICIENT

US LABOR MARKET IS GENERALLY INEFFICIENTLY SLACK

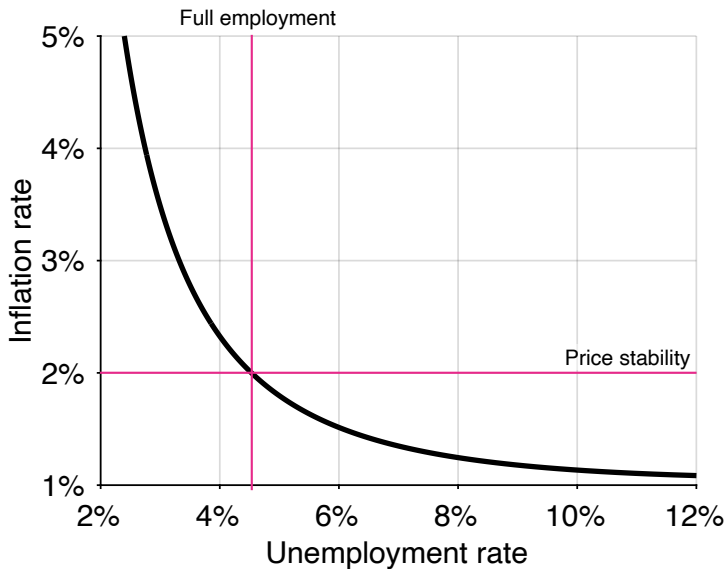


6. SLACK MIGHT DETERMINE INFLATION TOO

US SLACK AND INFLATION DURING PANDEMIC RECOVERY

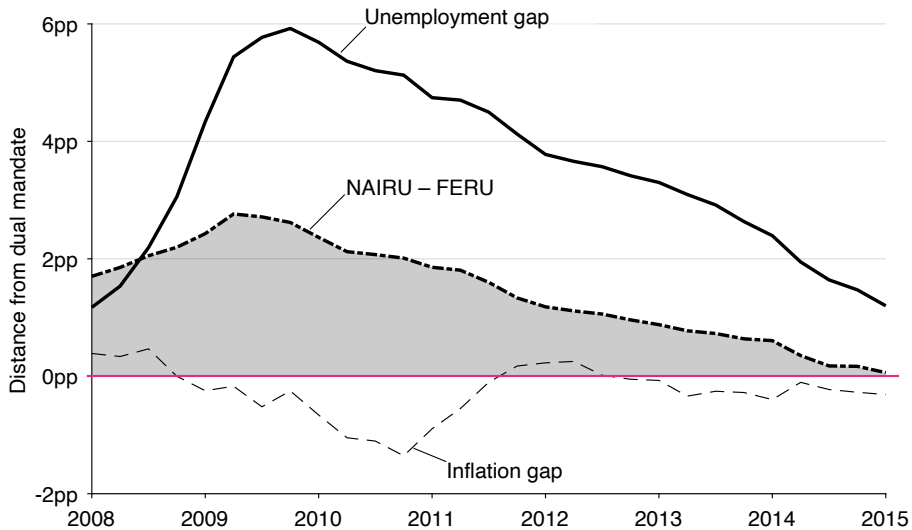


SLACKISH PHILLIPS CURVE IS QUITE CONVEX

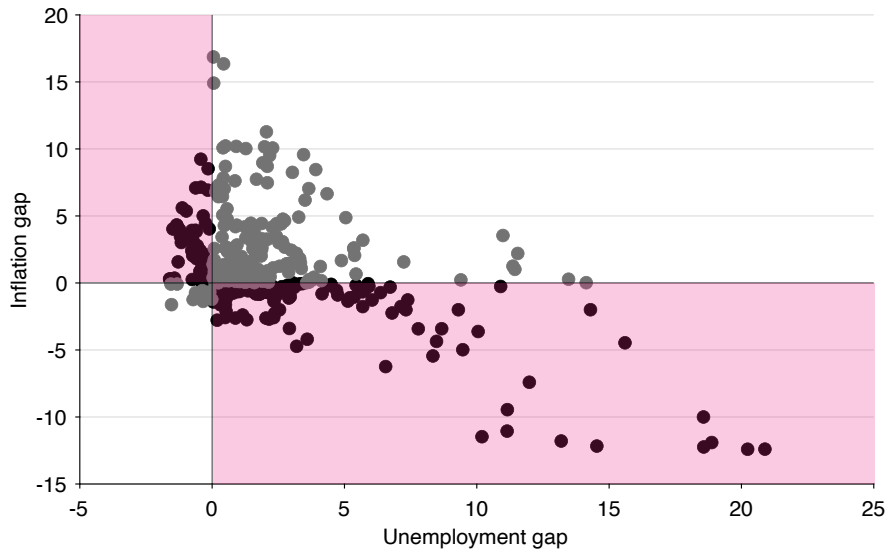


7. SLACK DETERMINES OPTIMAL MONETARY AND FISCAL POLICY

NAIRU COST 16 MILLION WORKER-YEARS OF UNEMPLOYMENT OVER 2008–2015



MONETARY POLICY IS SUBOPTIMAL $> 47\%$ OF TIME



OPTIMAL STIMULUS SPENDING DURING GREAT DEPRESSION

